6-4b Last-In, First-Out Method

When the LIFO method is used, the cost of goods on hand at the end of the period is made up of the earliest costs. Based on the same data for Item 127B as in the FIFO example, the cost of the 800 units in ending inventory on January 31 is $16,000, which consists of 800 units from the beginning inventory at a cost of $20.00 per unit.

Deducting the cost of the January 31 inventory of $16,000 from the cost of goods available for sale of $45,180 yields the cost of goods sold of $29,180, computed as follows:

Beginning inventory, January 1	$ 20,000
Purchases ($11,200 + $13,980)	25,180
Cost of goods available for sale in January	$ 45,180
Ending inventory, January 31	(16,000)
Cost of goods sold	$ 29,180

The $16,000 cost of the ending inventory on January 31 is made up of the earliest costs. The $29,180 cost of goods sold is made up of the most recent costs. Exhibit 7 shows the relationship of the cost of goods sold for January and the ending inventory on January 31.

Exhibit 7

Last-In, First-Out Flow of Costs with Periodic Inventory